

The Moderating Effect of Access to Finance on Myopic Decision-Making and Business Performance of Low-income Household Micro-Enterprises in Manila

Harvey T. Ong

Decision Sciences and Innovation Department, De La Salle University – Manila, Philippines

Kayleen Zakia N. Keh

Decision Sciences and Innovation Department, De La Salle University – Manila, Philippines

Nazh Christophe Jude L. Lui

Decision Sciences and Innovation Department, De La Salle University – Manila, Philippines

Athina Hans M. Santos

Decision Sciences and Innovation Department, De La Salle University – Manila, Philippines

Eugene Joseph P. Suarez

Decision Sciences and Innovation Department, De La Salle University – Manila, Philippines

— *Review of* —
**Integrative
Business &
Economics**
— *Research* —

ABSTRACT

This study examines how myopic decision-making influences the business performance of micro-enterprises operated by low-income households in Manila, with access to finance as a moderating variable. The research addresses the critical question: How does myopic decision-making of low-income households influence micro-enterprise business performance when moderated by access to finance? Through quantitative analysis of micro-entrepreneurs in Manila, the study reveals that myopic decision-making significantly impacts business performance ($p\text{-value} < 0.001$), particularly when entrepreneurs prioritize immediate rewards over long-term benefits. Access to finance of low-income households have a significant positive effect on the business performance of micro-enterprises ($p\text{-value} = < 0.001$). The research finds that proper access to finance can moderate the negative effects of myopic decision-making on business outcomes ($p\text{-value} = 0.005$). The study concludes that micro-entrepreneurs from low-income households often make short-sighted decisions and have financial constraints due to immediate survival pressures, which hinder business growth and perpetuate economic vulnerability. Therefore, developing targeted financial literacy programs for micro-entrepreneurs, improving access to formal financial institutions, implementing government support systems for micro-enterprises, and creating interventions focused on long-term business planning are some measures that low-income households with micro-enterprises need to aim to help them overcome myopic decision-making tendencies and enhance their business performance through better access to financial resources.

Keywords: Myopic decision-making, access to finance, business performance, micro-enterprises, low-income households.

Received 13 January 2025 | Revised 5 August 2025 | Accepted 11 November 2025

1. INTRODUCTION

1.1 Background of the Study

Being a third-world country, a notable portion of the population in the Philippines lives below the poverty line and low-income households. According to a survey conducted by the Social Weather Stations in December 2023, approximately 13 million Filipino households, or 47% of the population, still identify as poor (Piatos, 2024). For many of these individuals, micro-enterprises and self-employment serve as their means of livelihood to secure their necessities in life (Orbeta et al., 2020). These small businesses provide a source of income and economic stability for families who might have limited employment opportunities. The low-income household's reliance on small-scale businesses explains the prevalence of numerous small businesses in the country. These micro-enterprises are usually small neighborhood convenience stores, street vendors, shoemakers, and other similar ventures.

Undoubtedly, MSMEs play a vital role in the economic landscape of the city of Manila, the country's capital city. Micro, small, and medium enterprises (MSMEs) play a crucial role in the Philippine economy, accounting for 99.59%, generating 62.4% of the country's total employment, contributing 36% of gross value added, and accounting for 25% of total exports in 2022, according to the Philippine Statistics Authority's (PSA) List of Establishments (LE). Of the registered business establishments, 90.48% constitute micro-enterprises (Department of Trade and Industry, 2022). Although these enterprises are relatively small in terms of capital, workforce, and revenue, they are the backbone of the local economy. In the city of Manila, where the population density and economic activity are among the highest in the country, MSMEs are essential for providing goods and services that cater to the diverse needs of the urban population. As previously stated, they range from small retail shops and service providers to more sophisticated businesses, contributing to the area's vibrant and dynamic economy.

These micro-enterprises are mainly characterized by a hands-on, owner-driven approach (Alemda & Pobre, 2012). This means that these enterprises are often managed by the business owners themselves. They play the role of both the strategic decision-makers and operational managers. However, these enterprises' expansion and sustainability are often limited due to inadequate formal access to finance. They face numerous hurdles they have to overcome to obtain proper access to finance, such as extensive documentation requirements, minimum loan amounts, and difficulty in getting approved. Due to these laborious processes, micro-entrepreneurs pursue alternative informal financing sources. These substitutes are usually loans taken from their families or friends, which typically come with higher interest rates compared to formal lending institutions. However, this also comes at a cost, as this will further hinder the growth of these enterprises, as micro-entrepreneurs who borrow at higher rates also have to pay more expensive fees. This lessens their capital to reinvest into their business, making it harder for them to expand as they also have to pay daily for necessities.

Having proper access to finance significantly influences the growth and performance of all businesses as it allows business owners to have extra capital to expand and boost the performance of their businesses. However, the microentrepreneurs' challenging way of having access to proper finance institutions only makes it hard for them to deal with their micro-enterprises and their lives. Their lack of liquidity prohibits them from exploring numerous opportunities that could improve their way of life.

Their challenges do not stop with having access to finance; another factor that prohibits them from boosting their business performance is myopic decision-making. Myopia, in business, is a phenomenon where short-term gains are prioritized over long-term benefits, significantly impacting business performance. The tendency to favor immediate rewards often leads to decisions that, while beneficial in the short run, can be detrimental to the business's future stability and growth. This phenomenon has been widely studied in various contexts, including entrepreneurship, corporate finance, and environmental decision-making. For low-income individuals, the constant focus on prioritizing short-term needs will prevent microentrepreneurs from making strategic long-term investments and decisions that could help their businesses flourish. Additionally, spatial myopia, or one's failure to consider the macroenvironment, further intensifies the negative effects of myopic decision-making on businesses.

Myopic decision-making can be aggravated by resource scarcity, financial constraints, and the pressing need to address immediate survival concerns. Continuing to pursue this cognitive bias will eventually make the growth of an enterprise stagnant or worse. In Metro Manila, where many micro-entrepreneurs operate under financial constraints and immediate survival pressures, this short-termism is prevalent. This results in inadequate savings, poor financial planning, and insufficient money to reinvest into the business. These factors hinder business growth and perpetuate the poverty cycle and economic vulnerability among micro-entrepreneurs in low-income households.

1.2 Rationale of the Study

Through this study, the researchers aim to understand the business myopia of micro-entrepreneurs and assess how these decisions impact the performance of their enterprises. This sample is selected for testing because low-income sari-sari store owners in Manila experience real challenges in accessing formal credit and making long-term business decisions. These micro-entrepreneurs typically manage their businesses alone, so their personal decision-making directly impacts performance. What special features in this sample that make it ideal for studying the research topic include their exposure to financial pressure, frequent short-term decision-making, and limited capital. Operating in a dense and competitive urban environment like Manila further intensifies their reliance on short-term solutions. Their situation makes them a relevant group for testing theories on myopic decision-making and access to finance in micro-enterprises.

By diving deeper into the interplay of myopic decision-making, access to finance, and business performance, the researchers seek to reveal the root causes of myopic decision-making and poor business performance. Furthermore, it is important to understand the dynamics of myopic decision-making as the study's findings will help create interventions and policy recommendations focused on enhancing the business performance of micro-enterprises and promoting economic stability for low-income households. By providing actionable recommendations, this study will help support the growth and sustainability of

micro-enterprises, which will ultimately contribute to poverty alleviation and economic development in the city of Manila. Moreover, the researchers aim to fill a significant gap in the literature as this topic has not yet been fully explored, especially the relationship between the three variables.

With this, this paper aims to explore the challenges faced by microenterprises in the Philippines, particularly in low-income households' myopic decision-making and access to finance, and to identify potential solutions to support their growth and sustainability. By examining existing literature and conducting primary research, we seek to contribute to understanding the barriers microenterprises face and provide recommendations for policymakers and practitioners.

1.3 Statement of the Problem

The general problem identified by the researchers is as follows: “How does the myopic decision-making of low-income households influence the business performance of micro-enterprises with the moderating effect of access to finance across the city of Manila?”.

1.4 Objectives of the Study

After completing the study, the researchers should fill the gap in the access to finance and myopic decision-making of low-income households and its effects on the business performance of their micro-enterprises. The following objectives were established to complete the study:

- To identify the types of myopic decision-making prevalent among micro-entrepreneurs from low-income households.
- To determine the various sources of access to finance available to micro-entrepreneurs from low-income households.
- To examine the effect of myopic decision-making by low-income household micro-entrepreneurs on the business performance of their micro-enterprises.
- To assess the effect of access to finance for low-income households on the business performance of micro-enterprises.
- To evaluate the moderating effect of access to finance on the relationship between myopic decision-making of micro-entrepreneurs from low-income households and the performance of their micro-enterprises.
- To develop and propose evidence-based recommendations for the beneficiaries of this study, including micro-entrepreneurs, financial institutions, and policymakers, to improve micro-enterprise performance and decision-making.

1.5 Significance of the Study

The study explores the crucial role of access to finance and how myopic decision-making affects the business performance of micro-enterprises in the city of Manila. The findings of this study will be beneficial to the following:

- **Micro Enterprises and Entrepreneurs:** The findings of this research will allow micro-enterprises to understand the role of access to finance in reducing myopic decision-making, helping micro-entrepreneurs improve business performance, increase profitability, and achieve sustainable growth. Moreover, the research highlights the importance of financial inclusion and access to affordable credit, enabling micro-entrepreneurs in urban areas like Manila to recognize the negative effects of myopic behavior and gain new information on the benefits of formal finance for long-term sustainability.
- **Low-Income Households:** The findings of this study allow low-income households to have information about access to finance as a way to start their micro-enterprises and help alleviate poverty. Moreover, the study can improve the economic well-being and livelihood opportunities of low-income households in the city of Manila.
- **Government:** The study's findings can guide the government in formulating evidence-based policies and regulations that address the specific challenges faced by low-income households and their micro-enterprises. This can lead to more effective and targeted interventions, ultimately contributing to economic growth and poverty reduction. Moreover, it can provide government interventions and support to micro-enterprises by providing financial assistance such as government guarantees or financial literacy programs.

1.6 Scope and Limitation

Micro, small, and medium enterprises (MSMEs) play a vital role in the Philippine economy, accounting for over 99% of all business establishments in the country. In particular, micro-enterprises are defined as businesses with assets under ₱3 million and less than 10 employees. Many of these micro-enterprises are located in the city of Manila. However, myopic decision-making and lack of access to formal financing institutions can affect these enterprises' business performance and growth. This study aims to analyze the impact of myopic decision-making by micro-entrepreneurs from low-income households on the business performance of their micro-enterprises, with access to finance as a moderating variable.

This study focuses on low-income households that own and operate micro-enterprises within the urban areas of the city of Manila. It aims to analyze the impact of myopic decision-making by micro-entrepreneurs on the business performance of their micro-enterprises. In addition, the study explores access to finance as a moderating factor between myopic decision-making and business performance, while also examining the influence of external factors on myopic behavior. The socio-economic context of the city of Manila is also considered for its potential influence on myopic decision-making and micro-enterprise performance. However, the scope of the study explicitly excludes micro-enterprises located outside of Manila, respondents who do not operate sari-sari stores, and households that do not fall under the low-income threshold. It also excludes articles that investigate the relationship between myopic decision-making, access to finance, and business performance, as no prior work has investigated the combined effect and interaction of these three factors simultaneously. Additionally, the study does not cover other factors beyond myopic decision-making and access to finance that may impact micro-enterprise performance. Medium or large-scale enterprises that do not qualify as micro-enterprises are excluded, and the analysis does not rely on comprehensive historical financial data due to the general lack of formal record-keeping and respondent hesitancy to share

confidential information. Sari-sari stores included in the study are presumed to be under the definition of a “micro-enterprise”, characterized by having fewer than ten employees and assets not exceeding PHP 3 million.

2. REVIEW OF RELATED LITERATURE

This section of this research focuses on an in-depth review of the literature on the challenges and factors influencing minor and small enterprises (MSEs) in low-income countries, particularly focusing on access to finance and myopic decision-making. It emphasizes the critical role of access to finance in determining the performance and growth of MSEs from low-income households. Entrepreneurs from this socioeconomic class often face barriers to accessing formal loaning institutions like banks, which hinders their ability to invest in their businesses and respond to possible market opportunities. This lack of access is attributed to several factors, including strict collateral requirements, lack of financial documentation, and the perception of MSEs as high-risk borrowers.

This section also focuses on exploring the phenomenon of myopic decision-making among low-income entrepreneurs. This is because poverty and resource scarcity are linked to tendencies to prioritize immediate gratification over long-term benefits, which is driven by uncertainty about the future and pressing financial needs. This leads to suboptimal financial choices that prohibit their efforts in building creditworthiness and securing formal financing from formal financial services.

Oftentimes, the only choice left for low-income entrepreneurs is informal financial services. Usually, although these are more costly and exploitative, they are the only option for them due to their exclusion from formal financial institutions. This highlights informal financing, such as high interest rates, which slows their enterprises from growing at a controlled rate. Furthermore, the lack of awareness of these individuals regarding the benefits of formal financial services and the absence of financial literacy further contribute to their being included in loaning institutions that could make their enterprises earn more.

It is important to note that although many studies have been conducted to examine access to finance and myopic decision-making separately, there is a lack of comprehensive research integrating these concepts and their impact on business performance, particularly in micro-enterprises owned by low-income households.

3. FRAMEWORK OF THE STUDY

3.1 Operational Framework

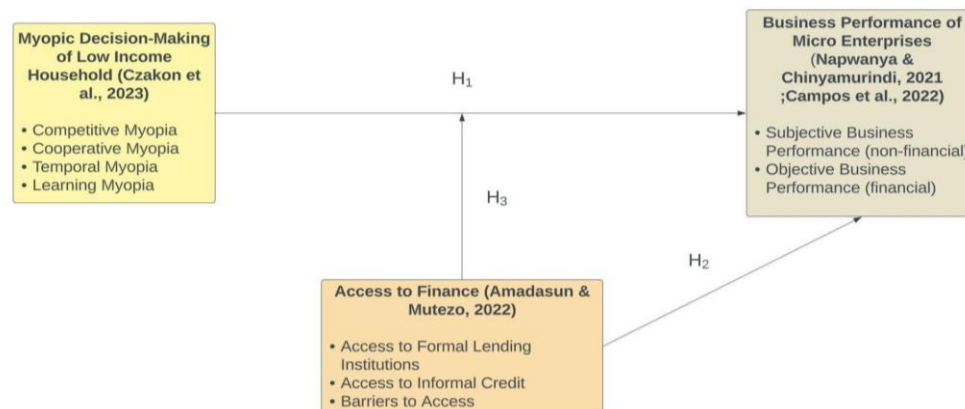


Figure 1. Operational Framework

The operational framework illustrates the interconnected variables and their components in a study examining the relationship between decision-making in low-income households and the performance of micro-enterprises, with access to finance as a moderating factor. The framework consists of three main elements: “Myopic Decision-Making of Low Income Household” (Czakov et al., 2023), which includes competitive, cooperative, temporal, and learning myopia; “Access to Finance” (Amadasun & Mutezo, 2022) encompassing access to formal lending institutions, access to informal credit, and barriers to access; and “Business Performance of Micro Enterprises” (Napwanya & Chinyamurindi, 2021; Campos et al., 2022), which is measured through subjective business performance (non-financial) and objective business performance (financial). This framework provides a structured approach to analyzing how decision-making patterns in low-income households, influenced by their access to financial resources, may impact the performance of micro-enterprises across both financial and non-financial dimensions.

3.2 Hypothesis Testing / Proposition

This study investigates the relationships between the myopic decision-making of low-income households, access to finance, and micro-enterprises’ business performance. To test these relationships, four sets of hypotheses have been formulated:

Ho1: Myopic decision-making of low-income households does not have an effect on the business performance of micro-enterprises

Ha1: Myopic decision-making of low-income households has a significant effect on the business performance of micro-enterprises

Ho2: Access to finance of low-income households does not have an effect on the business performance of micro-enterprises

Ha2: Access to finance of low-income households has a significant effect on the business performance of micro-enterprises

Ho3: Myopic decision-making of micro-entrepreneurs from low-income households with access to finance does not have a moderating effect on the business performance of micro-enterprises

Ha3: Myopic decision-making of micro-entrepreneurs from low-income households with access to finance has a significant moderating effect on the business performance of micro-enterprises

3.3 Operational Definition of Terms

- **Access to Finance** - Access to finance is defined as the availability of financial services in the form of demand deposits, credit, payments, or insurance (Ye & Kulathunga, 2019). For Bikrenmaier & Fu (2017), access to finance is the household use of formal financial services, including the ability to access transactions, credit, and investment products and services from formal financial institutions.
- **Access to Formal Lending Institutions** - Access to Formal Lending Institutions are institutions wherein they are regulated by the government and offer financial services such as credit or loans and investment products (Birkenmaier & Fu, 2017). Formal lending institutions typically require collateral and documentation in order to have access to a credit line.
- **Access to Informal Credit** - Informal credits are fundings from informal or non-institutional financial firms considered Alternative Financial Services like payday loans and pawnshop loans—and although more costly and unfavorable (Birkenmaier & Fu, 2017), offer easier access due to limited collateral, low loan amounts, and short repayment tenures.
- **Barriers to Access** - Amadasun & Mutezo (2022) define access barriers as critical factors that constrain SMEs from obtaining and understanding financial resources for growth, with collateral requirements and financial literacy further hindering access to sufficient and affordable capital (Osano & Languitone, 2016).
- **Business Performance** - Business performance is a holistic and evolving measure of an organization's effectiveness, efficiency, and success in achieving short- and long-term objectives—encompassing financial health, operational efficiency, customer satisfaction, market competitiveness, and strategic goal attainment (Franco-Santos et al., n.d.)—and requires both financial and non-financial metrics for assessment (Napwanya & Chinyamurindi, 2021), enabling organizations to adapt, improve, and make data-driven decisions (Taouab & Issor, 2019).
- **Collateral Requirements** - Collateral requirements are one of the barriers to access to finance. Collateral requirements are usually properties or other valuable items that are used to guarantee the repayment of the loan or credit. The collateral is usually 100% or more of the credit or loan amount (Osano & Languitone, 2016).
- **Competitive Myopia** - Competitive myopia, one of four dimensions of strategic myopia, involves a narrow focus on immediate threats from nearby competitors, often causing managers to misidentify competitors, overlook less obvious but

significant threats, and miss opportunities, ultimately leading to competitive blind spots and exposure to unforeseen challenges (Czakon et al., 2023).

- **Cooperative Myopia** - Cooperative myopia, one of the four dimensions of strategic myopia identified by Czakon et al. (2023), is characterized by a limited view of cooperative opportunities which leads managers to ignore potential collaborations with competitors, suppliers, or customers that could offer strategic advantage and joint value creation (Czakon et al., 2023).
- **Customer Satisfaction** - Customer satisfaction is a subjective assessment of whether agribusiness, microfinance, service, and retail sector offerings meet or exceed expectations, indicating value and quality (Singh and Kaur, 2011) and leading to loyalty, repeat purchases, and recommendations (Zamry and Nayan, 2020).
- **Financial Literacy** - Financial literacy, defined as the ability to understand and use financial skills like budgeting and investing, is a key barrier to access to finance, as it enables borrowers to provide timely information, access optimal funding, and maximize growth potential (Osano & Languitane, 2016).
- **Intellectual Capital** - Intellectual capital refers to intangible knowledge-based resources—such as patents, proprietary technology, employee innovation, and customer relationships—that provide companies with a competitive edge and support long-term innovation and differentiation (Spitsyna & Golova, 2023; Shahbaz et al., 2024).
- **Learning Myopia** - Learning myopia is the last dimension of strategic myopia identified by Czakon et al. (2023) which involves a reluctance or inability to learn from past experiences and adapt to new information. Managers with high learning myopia tend to persist in their current course of action, leading to strategic inertia and a failure to respond adequately to emerging threats and opportunities (Czakon et al., 2023).
- **Low-Income Households** - Zoleta (2023) defines low-income households in the Philippines as families earning around or below PHP 24,000 monthly, with income typically sufficient for basic food needs but inadequate for essential non-food expenses like healthcare, education, and housing.
- **Market Share** - Market share represents the percentage of total industry sales a company captures, indicating its competitiveness, brand strength, and marketing effectiveness, with larger shares reflecting stronger positions (Hafeez et al., 2016).
- **Micro-Enterprises** - In the Philippines, micro-enterprises are defined by Lomotan & Roldan (2021) as MSMEs with assets below P3 million (US\$ 60,000), employing fewer than ten people, often engaged in agribusiness, microfinance, service, and retail, and facing funding, tax, and growth challenges, with 90% of social enterprises classified as such.
- **Myopic Decision-Making** - Myopic decision-making, a cognitive bias focused on the present and undervaluing future outcomes (Angeletos & Huo, 2021; Jachimowicz et al., 2017; Pastore, 2019), while managerial myopia, a short-term orientation prioritizing immediate gains (Cao et al., 2022), can hinder identification of important

threats and opportunities by failing to consider the distant future and broader environment (Czakon et al., 2023).

- **Objective Firm Performance** - Financial metrics that measure a firm's business performance—such as profitability and revenue growth in which objective measures are more absolute than relative, though administering them is more ambitious than conducting a subjective measure due to limited access to sensitive information (Vij & Bedi, 2016).
- **Operational Efficiency** - Operational efficiency refers to how effectively a company runs its core processes by optimizing resources, minimizing waste, and maximizing productivity to deliver products or services faster and more cost-effectively (Feng & Ali, 2024; Ones-Ozigagun et al., 2024).
- **Product/Service Quality** - Product/service quality reflects how well offerings meet customer needs in performance, reliability, aesthetics, and experience that drives satisfaction and market differentiation through consistent and positive delivery on its intended purpose (Naini et al., 2022; Tripes et al., 2014).
- **Profitability** - Profitability is a key indicator of a company's financial health, showing whether revenues exceed expenses and supporting continued existence, market presence, and growth in employees, firm size, and market share (Amos et al., 2019).
- **Return on Investment (ROI)** - Return on Investment (ROI) measures the profit or loss generated relative to investment cost and is commonly used to assess efficiency, profitability, and guide financial decision-making and resource allocation for companies, institutions, and investors.
- **Revenue Growth** - Revenue growth refers to the increase in a company's revenues over time and serves as a measure of its viability, market presence, and expansion in terms of employees, firm size, and market share (Amos et al., 2019).
- **Subjective Firm Performance** - Subjective firm performance is a non-financial metric based on individual perceptions and judgments—commonly used to assess financial performance, market share, customer satisfaction, and overall success relative to competitors (Vij & Bedi, 2016).
- **Temporal Myopia** - Temporal myopia, a dimension of strategic myopia, is characterized by a preference for short-term outcomes, leading managers to prioritize immediate financial objectives at the expense of long-term investments and strategic capability development (Czakon et al., 2023).

4. RESEARCH METHODOLOGY

4.1 Research Design

The quantitative research employs a comprehensive multi-faceted design that integrates descriptive, correlational, and causal approaches. This research design thoroughly examines the relationships between myopic decision-making, access to finance, and business performance among micro-enterprises in the city of Manila. The descriptive component aims to identify the types of myopic decision-making prevalent among micro-entrepreneurs from

low-income households and determine their various sources of access to finance. The correlational aspect explores the statistical relationships between these variables, while the causal aspect examines the variables' impact and effects. This multi-method approach enables a holistic understanding of micro-entrepreneurs challenges, allowing for the development of evidence-based recommendations. The study can provide a nuanced perspective on the factors affecting low-income micro-entrepreneurs in the city of Manila by employing quantitative analysis. This research design contributes to academic knowledge and offers practical implications for policy formulation and support strategies for micro-enterprises in urban settings.

4.2 Sampling Plan

The study will use a non-probability sampling technique as the target respondents are focused on a specific population. Non-probability sampling allows researchers to target particular groups within the population that meet certain criteria rather than randomly sampling the entire population. The study will specifically use a purposive sampling technique to select participants who can provide the most relevant and insightful information, are readily accessible, and are willing to participate in the study. The selection criteria will ensure that the initial participants fit the profile of the target population. By carefully choosing participants with direct knowledge and insight into the key issues of myopic decision-making, access to finance, and their business performance, purposive sampling will enable the researchers to gather relevant data to address the research questions effectively.

4.3 Method of Data Analysis

Table 1. Interpretation of Mean Results for Myopic Decision-Making

Value Range Allocation	Likert Description	Interpretation
4.5 - 5.0	Strongly Agree	The degree to which Myopic Decision-Making affects Business Performance is very high
3.5 - 4.49	Agree	The degree to which Myopic Decision-Making affects Business Performance is high
2.5 - 3.49	Neutral	The degree to which Myopic Decision-Making affects Business Performance is moderate
1.5 - 2.49	Disagree	The degree to which Myopic Decision-Making affects Business Performance is low
1.0 - 1.49	Strongly Disagree	The degree to which Myopic Decision-Making affects Business Performance is very low

The table above shows that a mean value of 4.5 to 5.0 would mean that the degree to which myopic decision-making affects business performance is very high. While on the other hand

a mean value of 1.0 to 1.49 would mean that the degree to which myopic decision-making affects business performance is very low.

Table 2. Interpretation of Mean Results for Access to Finance

Value Range Allocation	Likert Description	Interpretation
4.5 - 5.0	Strongly Agree	The degree to which Access to Finance affects Business Performance is very high
3.5 - 4.49	Agree	The degree to which Access to Finance affects Business Performance is high
2.5 - 3.49	Neutral	The degree to which Access to Finance affects Business Performance is moderate
1.5 - 2.49	Disagree	The degree to which Access to Finance affects Business Performance is low
1.0 - 1.49	Strongly Disagree	The degree to which Access to Finance affects Business Performance is very low

The table above shows that a mean value of 4.5 to 5.0 would mean that the degree to which access to finance affects business performance is very high. While, on the other hand, a mean value of 1.0 to 1.49 would mean that the degree to which access to finance affects business performance is very low.

5. RESEARCH FINDINGS

5.1 Summary Statistics

The data for this study were collected through a field survey conducted over five weeks. Researchers identified their target respondents, specifically microenterprise owners operating sari-sari stores, by assigning specific districts within the City of Manila to individual researchers. Data were gathered using a pen-and-paper survey administered in person at each store.

Table 3. Summary Statistics of the Myopic Decision-Making Among Micro-Enterprise Owners in Manila

Myopic Decision Making					
	N	$\bar{x}$	σ	Min	Max
Competitive	100	2.92	0.86	1.00	4.60
Cooperative	100	2.50	0.83	1.00	4.25
Temporal	100	2.96	1.09	1.00	5.00
Learning	100	2.44	1.04	1.00	4.67

Table 3 provides the summary statistics for the levels of myopic decision-making among Manila's micro-enterprise owners across four dimensions: Competitive, Cooperative, Temporal, and Learning. The highest average score is in the Temporal dimension (2.96), indicating a moderate focus on short-term financial goals over long-term investments. The Learning dimension has the lowest mean (2.44), suggesting a relatively greater consideration for future development and customer needs. Overall, the results highlight varying degrees of short-term thinking in business decisions, pointing to areas where long-term strategic planning could be beneficial.

Table 4. Summary Statistics of Access to Financial Services Among Micro-Enterprise Owners in Manila

Access to Finance					
	N	$\bar{x}$	σ	Min	Max
Barriers to Access	100	2.81	0.69	1.40	4.60
Access to Formal Lending Institutions	100	1.49	1.58	0.00	5.00
Access to Informal Credit	100	1.26	0.43	1.00	2.60

Table 4 presents the summary statistics for micro-enterprise owners' access to financial services, categorized into Barriers to Access, Access to Formal Lending Institutions, and Access to Informal Credit. The highest mean score is for "Barriers to Access" (2.81), indicating moderate to high perceived obstacles, with variability across participants. "Access to Formal Lending Institutions" has a low mean score (1.49) and high variation, reflecting limited and uneven engagement with formal financial services. "Access to Informal Credit" also shows a low mean (1.26) with consistent low use. Overall, micro-enterprise owners in Manila face limited financial access and significant barriers to securing financial resources.

Table 5. Summary Statistics of Business Performance Among Micro-Enterprise Owners in Manila

Business Performance					
	N	$\bar{x}$	σ	Min	Max
Financial Performance	100	2.61	0.82	1.18	4.36
Customer Satisfaction	100	3.53	0.79	1.80	5.00
Market Competitiveness	100	2.85	1.13	1.17	4.83
Growth Mindset	100	3.08	1.21	1.00	5.00
Operational Efficiency	100	2.92	0.60	1.25	4.75

Table 5 presents the summary statistics for business performance components among micro-enterprise owners in Manila, including Financial Performance, Customer Satisfaction, Market

Competitiveness, Growth Mindset, and Operational Efficiency. Customer Satisfaction has the highest mean score (3.53) with a low standard deviation (0.79), suggesting general success in meeting customer expectations. Financial Performance has a lower mean (2.61), indicating challenges in achieving stability. Market Competitiveness (2.85) and Operational Efficiency (2.92) show moderate scores, with competitiveness displaying higher variability ($SD = 1.13$). Growth Mindset averages 3.08 with the highest variability ($SD = 1.21$), reflecting diverse attitudes. Overall, strengths lie in customer satisfaction and growth orientation, while financial and competitive aspects need more support.

5.2 Summary of Findings

Table 6. Summary of Hypotheses Tested

Hypotheses Tested	P-value	Interpretation
Ho ₁ : Myopic decision-making of low-income households does not have an effect on the business performance of micro-enterprises Ha ₁ : Myopic decision-making of low-income households has a significant effect on the business performance of micro-enterprises	< 0.001	Reject Ho ₁ . Myopic decision-making of low income households has a significant effect on the business performance of micro-enterprises.
Ho ₂ : Access to finance of low-income households does not have an effect on the business performance of micro-enterprises Ha ₂ : Access to finance of low-income households has a significant effect on the business performance of micro-enterprises	< 0.001	Reject Ho ₂ . Access to finance of low income households has a significant effect on the business performance of micro-enterprises.
Ho ₃ : Myopic decision-making of micro-entrepreneurs from low-income households with access to finance does not have a moderating effect on the business performance of micro-enterprises Ha ₃ : Myopic decision-making of micro-entrepreneurs from low-income households with access to finance has a significant moderating effect on the business performance of micro-enterprises	0.005	Reject Ho ₃ . Myopic decision-making of micro-entrepreneurs from low-income households with access to finance has a significant moderating effect on the business performance of micro-enterprises.

The statistical analysis revealed significant relationships across all three hypotheses tested, providing important insights into the dynamics between myopic decision-making, access to finance, and business performance among micro-enterprises. The results demonstrated statistical significance at $p < .001$ for both the direct effects of myopic decision-making (Ho₁)

and access to finance (Ho₂), while the moderating effect showed significance at $p = .005$ (Ho₃).

These findings provide crucial strategic insights for micro-enterprise development and performance enhancement. The significant relationship between myopic decision-making and business performance suggests that managers should actively work to reduce short-sighted decision-making patterns. The strong influence of access to finance indicates that micro-enterprises should prioritize developing diverse funding strategies that might include both formal and informal sources. The significant moderating effect reveals that the impact of financial access on business performance is influenced by decision-making patterns, suggesting that decision makers should adopt an integrated approach that combines improved financial access with enhanced long term decision-making capabilities.

6. CONCLUSION & RECOMMENDATION

The study examines how myopic decision-making affects micro-enterprises in Manila, particularly focusing on short-term gains over long-term objectives. This pattern is especially prevalent among micro-entrepreneurs from low-income households, who frequently prioritize immediate financial needs over strategic growth investments.

The impact of myopic decision-making on micro-entrepreneurs in Manila is evident through four distinct types of behavior that significantly affect their business operations. Competitive myopia affects 30% of respondents who sometimes ignore competitors' bargaining power, while 21% frequently overlook competitive forces. Cooperative myopia manifests in 33% of businesses rarely considering collaboration opportunities with potential partners. Temporal myopia is evident in 38% of respondents reducing human resources spending for immediate gains, and 44% cutting R&D expenditures. Learning myopia appears in 37% of participants who disregard long-term objectives.

Financial access and business performance are closely linked, with access to finance emerging as a critical factor in entrepreneurial success. Micro-entrepreneurs with limited access to formal financing typically rely on informal credit sources, including family loans and local moneylenders, often with exploitative terms. Those who secure formal financing through savings accounts, small loans, or government grants show a greater likelihood of investing in staff training, customer acquisition, and product improvements.

The long-term impact of combining myopic decision-making with limited financial access creates a cycle that hinders sustainable business growth. Entrepreneurs under constant financial pressure tend to make decisions favoring immediate rewards over long-term investments. This approach not only reduces business growth potential but also reinforces dependency on short-term financial strategies that weaken competitive positioning and operational resilience.

Recommendations for micro-entrepreneurs include participating in MSME development programs through DTI and LGU offices, developing comprehensive three-year business plans, and implementing proper financial record-keeping systems. For sari-sari store owners specifically, utilizing Sari.PH Pro, a free ERP mobile application, can provide digital inventory tracking, sales monitoring, and customer credit recording capabilities. This platform has demonstrated success with ₱8 billion in sales from over 8 million transactions in 2023, showing 20% year-over-year growth.

ACKNOWLEDGEMENT

We are grateful for the endless support of our thesis advisor, Dr. Harvey T. Ong, whose expertise, patience, and dedication guided this study, and we thank the anonymous reviewers for their helpful comments and suggestions.

REFERENCES

- [1] Amadasun, D. & Mutezo, A. (2022). Influence of access to finance on the competitive growth of SMEs in Lesotho. *J Innov Entrep* 11, 56. <https://doi.org/10.1186/s13731-022-00244-1>
- [2] Amos, N. B., Ariguzo, V. A., Akpa, V. & Odigie, H. (2019). LEADERSHIP AND REVENUE GROWTH OF COMMERCIAL BANKS IN LAGOS STATE, NIGERIA. *International Journal of Research Science and Management*, 6(9), 14–20. <https://ijrsm.com/index.php/journal-ijrsm/article/view/246>
- [3] Angeletos, G. M., & Huo, Z. (2021). Myopia and Anchoring. *The American Economic Review*, 111(4), 1166–1200. <https://doi.org/10.1257/aer.20191436>
- [4] Birkenmaier, J. & Fu, Q. (2017) Household Financial Access and Use of Alternative Financial Services in the U.S.: Two Sides of the Same Coin?. *Soc Indic Res* 139:1169–1185. <https://doi.org/10.1007/s11205-017-1770-6>
- [5] Campos, S., Dias, J. G., Teixeira, M. S., & Correia, R. J. (2022). The link between intellectual capital and business performance: a mediation chain approach. *Journal of Intellectual Capital*, 23(2), 401–419. <https://doi.org/10.1108/JIC-12-2019-0302>
- [6] Cao, Q., Ju, M., Li, J., & Zhong, C. (2022). Managerial Myopia and Long-Term Investment: Evidence from China. *Sustainability*, 15(1), 708. <https://doi.org/10.3390/su15010708>
- [7] Czakon, W., Klimas, P., Kawa, A., & Kraus, S. (2023). How myopic are managers? Development and validation of a multidimensional strategic myopia scale. *Journal of Business Research*, 157, 113573. <https://doi.org/10.1016/j.jbusres.2022.113573>
- [8] Feng, C., & Ali, D. A. (2024). Leveraging digital transformation and ERP for enhanced operational efficiency in manufacturing enterprises. *Journal of Law and Sustainable Development*, 12(3), e2455-e2455.
- [9] Franco-Santos, M., Kennerley, M., Micheli, P., Martinez, V., Mason, S., Marr, B., Gray, D., & Neely, A. (n.d.). Towards a definition of a business performance measurement system. *International Journal of Operations & Production Management*, 27(8), 784–801. <https://doi.org/10.1108/01443570710763778>
- [10] Hafeez, S., Munaf, K., Zahid, K., Tariq, M., Shabbir, S., & Khan, S. (2016). Think Outside the Box and Move beyond the Market Share. *International Review of Management and Marketing*, 6(4), 1048-1054.
- [11] Jachimowicz, J. M., Chafik, S., Munrat, S., Prabhu, J. C., & Weber, E. U. (2017). Community trust reduces myopic decisions of low-income individuals. *Proceedings of the National Academy of Sciences of the United States of America*, 114(21), 5401–5406. <https://doi.org/10.1073/pnas.1617395114>
- [12] Lomotan, M. M. R., & Roldan, M. D. G. (2021). Enabling Women Micro-Entrepreneurs through Social Enterprises in the Philippines. *The International Journal of Interdisciplinary Social and Community Studies*, 16(2), 75-81. <https://doi.org/10.18848/2324-7576/CGP/v16i02/75-81>

- [13] Naini, N. F., Santoso, S., Andriani, T. S., Claudia, U. G., & Nurfadillah, N. (2022). The effect of product quality, service quality, customer satisfaction on customer loyalty. *Journal of consumer sciences*, 7(1), 34-50.
- [14] Napwanya, T., & Chinyamurindi, W. T. (2021). An empirical study into the informal sector: The link between entrepreneurial activity and firm performance. *Journal of Economic and Financial Sciences*, 14(1), Article a537. <https://doi.org/10.4102/jef.v14i1.537>
- [15] Onesi-Ozigagun, O., Ololade, Y. J., Eyo-Udo, N. L., & Ogundipe, D. O. (2024). Data-driven decision making: Shaping the future of business efficiency and customer engagement. *International Journal of Multidisciplinary Research Updates*, 7(2), 19-29.
- [16] Orbeta, A. J. C. (2005). Poverty, Vulnerability and Family Size: Evidence from the Philippines. IDEAS Working Paper Series from RePEc.
- [17] Osano, H. M., & Languitane, H. (2016). Factors influencing access to finance by SMEs in Mozambique: case of SMEs in Maputo central business district. *Journal of Innovation and Entrepreneurship*, 5(1), 1-16. <https://doi.org/10.1186/s13731-016-0041-0>
- [18] Pastore, A. (2019, January 1). Individual decision making, reinforcement learning and myopic behaviour. <http://etheses.whiterose.ac.uk/23967/>
- [19] Piatos, T. C. (2024, January 18). SWS: Around 13 million Filipino households consider themselves poor. *Daily Tribune*. <https://tribune.net.ph/2024/01/18/sws-around-13-million-filipino-households-consider-themselves-poor>
- [20] Shahbaz, M. H., Ahmad, S., & Malik, S. A. (2024). Green intellectual capital heading towards green innovation and environmental performance: assessing the moderating effect of green creativity in SMEs of Pakistan. *International Journal of Innovation Science*. <https://doi.org/10.1108/IJIS-08-2023-0169>
- [21] Singh, H., & Kaur, A. (2011). Customer relationship management: A dynamic tool for customer satisfaction, customer retention & customer loyalty. *Asia Pacific Journal of Research in Business Management*, 2(5), 166-180.
- [22] Spitsyna, a., & golova, i. (2023). Determinants of intellectual capital development of transport enterprises. *Automobile roads and road construction*, 1(114), 213. 10.33744/0365-8171-2023-114.1-205-213
- [23] Taouab, O., & Issor, Z. (2019). Firm Performance: Definition and Measurement Models. *European Scientific Journal*, 15(1). <https://doi.org/10.19044/esj.2019.v15n1p93>
- [24] Vij, S., & Bedi, H. S. (2016). Are subjective business performance measures justified? *International Journal of Productivity and Performance Management*, 65(5), 603–621. <https://doi.org/10.1108/IJPPM-12-2014-0196>
- [25] Ye, J. & Kulathunga K. (2019). How Does Financial Literacy Promote Sustainability in SMEs? A Developing Country Perspective. doi.org/10.3390/su11102990
- [26] Zamry, A.D., & Nayan, S. M. D. (2020). What Is the Relationship Between Trust and Customer Satisfaction?. *Journal of Undergraduate Social Science and Technology*, 2(2). <http://abrn.asia/ojs/index.php/JUSST/article/view/76>
- [27] Zoleta, V. (2023, April 11). Understanding Social Classes in the Philippines: Where Do You Belong? <https://www.moneymax.ph/personal-finance/articles/social-class-philippines>